price to go up if investors were to make meaningful returns. Looking at the price charts and the trading screen, I was convinced that the stock price would crack sooner than later. I wasted no time in going short on the stock.

The market now appeared to be stabilizing in the 17,000-18,000 range after a series of bruising sell-offs since January. The easy pickings for bears appeared to be over for the time being. Just when they were running out of bullets came unexpected ammunition from none other than the finance minister himself. In the final Budget of the UPA’s tenure, P. Chidambaram announced a Rs 60,000-crore relief package for farmers, including complete waiver of Rs 50,000 crore of farm loans to small and marginal farmers.

To the stock market, this was a clear signal that the government’s main priority now was to win the Lok Sabha elections due next year. That meant more populist measures in the offing, something the market dreaded. Emboldened bears went on the offensive, knocking nearly 3,000 points off the Sensex over the next three weeks, dragging it to below the psychological 15,000 mark. Even the most diehard bull now had to admit that the near five-year bull run had finally ended.

What allowed bears to sustain their attack was the steady stream of bad news pouring in from global markets, the US and UK markets in particular. Investment banks, which were at the forefront of the sub-prime loan boom, were now haemorrhaging capital as borrowers defaulted. Faced with a severe liquidity crunch, these banks were pulling out whatever money they could from other markets they had invested in.

The dramatic change in sentiment had hurt the fund-raising plans of other companies, as fund managers appeared to have developed cold feet for IPOs. Wockhardt Hospitals was looking to raise around Rs 750 crore and Emaar MGF – a joint venture between Dubai-based Emaar Properties and India’s MGF Development – hoping to collect Rs 6,400 crore through IPOs. Both public issues had to be shelved.

I decided to take a well-earned break from trading, and went on a vacation with my family to Sri Lanka. I tried not to get distracted by market news, but kept track of events that were rapidly unfolding across the globe.

I could afford to do nothing for the rest of the year but watch from the sidelines. But the thrill of trading in a market that was changing course at whim was too much to resist.

It was evident that the market trended lower every time it attempted a climb after a bout of selling. Adding to the pressure on stock prices was the